Synthetic Loan Approval Circular

Illustrative enhanced review process for loan applications above ■80,000

SYNTHETIC DEMONSTRATION DOCUMENT

Not an official bank policy or regulatory publication.

Prepared for CIDAN agent development, document extraction, policy mapping and sandbox testing.

Cover — Synthetic Circular

Fictional proposal for CIDAN workflow testing: enhanced review for loan applications above ■80,000.

Critical notice

THIS IS NOT AN RBI CIRCULAR. The reference number, rules, threshold, dates and issuer are invented for software testing. No claim is made that RBI has issued a new loan-approval rule for loans above ■80,000.

Document metadata

Synthetic reference: CIDAN-SIM-LOAN-2026-001 | Issuer: Fictional Regulatory Training Authority | Illustrative issue date: 25 October 2026 | Illustrative effective date: 1 April 2027 (simulation only).

Purpose

Provide a multi-page sample document for testing circular extraction, obligation mapping, draft rule creation, sandbox tests and reporting in CIDAN.

1. Purpose, scope and definitions

This fictional document proposes an illustrative control framework for loan applications above a stated amount.

Purpose

The purpose of this simulation is to test whether a bank can identify loan applications requiring enhanced review and maintain evidence of a consistent decision process.

Scope

• Applies in this fictional scenario to new personal-loan and consumer-credit applications with a requested principal amount greater than ■80,000.

• Home loans, credit cards, renewals, top-ups and business loans are included only if a fictional bank's product policy explicitly adopts the same control.

• This threshold is invented for the CIDAN demo and is not an official RBI threshold.

Definitions

• Application amount: principal requested by the applicant before fees.

• Enhanced review: a documented second-level check of completeness, affordability, policy eligibility and decision evidence.

• Maker-checker: separation between the staff member preparing a decision and the authorized reviewer.

2. Intake, acknowledgement and completeness

Illustrative obligations for the application intake process.

Application record

• Assign a unique application ID and timestamp.

• Record product type, requested amount, channel and applicant consent.

• Record the version of the application form and product disclosures used.

Completeness review

• Check required identity, income, liability and purpose documents against the bank's approved product checklist.

• Record missing documents and communicate them to the applicant through an approved channel.

• Do not mark an application complete merely because a file was uploaded; validate readability and required fields.

Traceability

Every intake decision should be traceable to a named checklist version and reviewer or automated control version.

3. Enhanced review for amounts above ■80,000

Fictional rule proposal for a deterministic CIDAN sandbox.

Proposed rule

If the requested principal amount is greater than ■80,000, route the application to enhanced review before final sanction. Exactly ■80,000 does not trigger this particular rule because the condition is strictly greater than the threshold.

Enhanced review checklist

• Verify completeness of required documents.

• Recheck affordability and existing obligations using the bank's approved method.

• Confirm product eligibility and delegated approval authority.

• Check that exceptions are documented and authorized.

• Confirm the decision reason and relevant rule versions are retained.

No automatic approval

Crossing the threshold must not automatically approve or reject an application. It triggers an additional review step only in this fictional scenario.

4. Creditworthiness, affordability and responsible decisions

Illustrative controls for assessing repayment capacity.

Assessment

• Use verified income and documented liabilities under the bank's approved assessment method.

• Apply the relevant product policy and current credit-risk procedures.

• Flag inconsistent data for review rather than silently replacing it.

Decision quality

• Record the key factors that materially influenced the decision.

• Use consistent criteria for comparable applications, subject to lawful and approved risk policies.

• Escalate suspected fraud, identity mismatch, unusual income evidence or policy exceptions.

Human oversight

Automated recommendations are decision support. Required credit approval must be performed by the appropriate authorized decision-maker.

5. Approval authority and maker-checker

Fictional approval and separation-of-duties controls.

Approval matrix

• Maintain an approved authority matrix by product, amount, risk class and role.

• Prevent staff from approving outside their delegated limit.

• Require second-level review for the synthetic >■80,000 scenario before final sanction.

Decision record

• Store the outcome: approved, declined, referred or incomplete.

• Record the approver identity, timestamp, decision rationale and policy/rule versions.

• If the application is declined, communicate reasons where required by applicable law and bank policy.

Override controls

Overrides must include a reason, supporting evidence, permitted approver and audit event. An override must not erase the original rule result.

6. Customer disclosures, privacy and audit trail

Illustrative customer-protection and recordkeeping controls.

Disclosures

• Before acceptance, provide applicable interest, fees, repayment terms, material conditions and required loan documents.

• Record the version of disclosures accepted by the customer.

• Do not describe this synthetic circular as changing actual borrower rights.

Privacy and security

• Limit access to application data by role.

• Use encryption and approved secure channels for data transfer and storage.

• Use synthetic or authorized data for testing and restrict exports.

Audit trail

Record upload, extraction, mapping, rule version, test execution, approval and release events. Protect audit records against unauthorized alteration.

7. Testing, implementation and effective date

Fictional implementation controls designed for CIDAN demonstration.

Testing requirements

• Test amounts below, equal to and above ■80,000.

• Test incomplete applications, policy exceptions, failed second-level review and invalid rule configurations.

• Run regression tests to ensure unrelated products are not affected.

• Compare expected and actual outcomes and retain evidence.

Illustrative implementation timetable

• Issue date: 25 October 2026 (fictional).

• Sandbox validation period: 1 November 2026 to 31 January 2027 (fictional).

• Staff training and procedure update: 1 February to 15 March 2027 (fictional).

• Illustrative effective date: 1 April 2027 (fictional; not mandated by RBI).

Release gate

No production release until the bank's authorized Compliance, Risk and IT owners have reviewed test evidence, approved the relevant rule version and completed required release controls.

8. Monitoring, exceptions and final disclaimer

Illustrative post-implementation controls and mapping checklist.

Monitoring

• Track the volume of applications routed to enhanced review.

• Monitor routing errors, processing delays, overrides and complaints.

• Review failed tests and unexpected outcomes; rollback to a known-good version if approved controls require it.

CIDAN obligation checklist

• OBL-SIM-001: route applications with requested amount > ■80,000 to enhanced review.

• OBL-SIM-002: record application completeness and missing items.

• OBL-SIM-003: verify affordability using the bank's approved method.

• OBL-SIM-004: enforce delegated approval and maker-checker controls.

• OBL-SIM-005: preserve decision rationale and rule-version traceability.

• OBL-SIM-006: test boundary values and retain validation evidence.

Final disclaimer

This document is entirely fictional and is not issued by the Reserve Bank of India. The threshold of ■80,000 and the effective date of 1 April 2027 are invented for demonstration. They must not be relied upon as real regulatory requirements. Before using actual regulatory rules, obtain the original circular from RBI's official website and verify its reference number, scope and effective date.